DEMONSTRATION PROBLEM FOR YOUR REVIEW

Reed Geophysical Company adjusts and closes its accounts at the end of the calendar year. At December 31, 19__, the balances in the ledger accounts *prior to making adjusting entries* were as follows:

REED GEOPHYSICAL COMPANY
Trial Balance
December 31, 19__

Cash	$ 12,540	
Prepaid office rent	3,300	
Prepaid dues and subscriptions	960	
Supplies	1,300	
Equipment	20,000	
Accumulated depreciation: equipment		$ 1,200
Notes payable		5,000
Unearned consulting fees		35,650
Glen Reed, capital		17,040
Glen Reed, drawing	27,000	
Consulting fees earned		90,860
Salaries expense	66,900	
Telephone expense	2,550	
Rent expense	11,000	
Miscellaneous expenses	4,200	
	$149,750	$149,750

OTHER DATA

a For the first 11 months of the year, office rent had been charged to the Rent Expense account at a rate of $1,000 per month. On December 1, however, the company signed a new rental agreement and paid three months' rent in advance at a rate of $1,100 per month. This advance payment was debited to the Prepaid Rent account.

b Dues and subscriptions expired during the year in the total amount of $710.

E:3. Supply

c An estimate of supplies on hand was made at December 31; the estimated cost of the unused supplies was $450.

convert

Depriciation

d The useful life of the equipment has been estimated at 10 years from date of acquisition. No depreciation expense has been recorded for the current year.

e Accrued interest on notes payable amounted to $100 at year-end. (Set up accounts for Interest Expense and for Interest Payable.)

f Consulting services valued at $32,550 were rendered during the year for clients who had made payment in advance.

g It is the custom of the firm to bill clients only when consulting work is completed or, in the case of prolonged engagements, at six-month intervals. At December 31, engineering services valued at $3,000 had been rendered to clients but not yet billed. No advance payments had been received from these clients.

h Salaries earned by employees but not yet paid amounted to $2,200 at December 31.

INSTRUCTIONS Prepare a work sheet for the year ended December 31, 19__.

... revenue of at least $45,000. ... Environment) in April of next year ... ment to host the annual

...ance policy had been purchased on September 1. The pre-...,200 for the entire life of the policy had been paid on September 1 and recorded as Unexpired Insurance.

INSTRUCTIONS For each of the above lettered paragraphs, draft a separate adjusting journal entry (including explanation) if the information indicates that an adjusting entry is needed. One or more of the above paragraphs may not require any adjusting entry.

PROBLEM 4A-2 Preparing Adjusting Entries from a Trial Balance

On April 1, 1994, Pat Hamilton, an attorney, opened her own legal practice, to be known as the Law Office of Pat Hamilton. The business adjusts and closes its accounts at the end of each month. The following trial balance was prepared at April 30, 1994, ***after one month*** of operations:

LAW OFFICE OF PAT HAMILTON
Trial Balance
April 30, 1994

Cash	$10,060	
Legal fees receivable	—0—	
Unexpired insurance	3,000	
Prepaid office rent	4,800	
Office supplies	1,460	
Office equipment	26,400	
Accumulated depreciation: office equipment		$—0—
Notes payable		16,000
Interest payable		—0—
Salaries payable		—0—
Unearned retainer fees		15,020
Pat Hamilton, capital		20,000
Pat Hamilton, drawing	3,000	
Legal fees earned		1,580
Salaries expense	2,680	
Miscellaneous expense	1,200	
Office rent expense	—0—	
Office supplies expense	—0—	
Depreciation expense: office equipment	—0—	
Interest expense	—0—	
Insurance expense	—0—	
	$52,600	$52,600

OTHER DATA

a No interest has yet been paid on the note payable. Accrued interest at April 30 amounts to $200.

b Salaries earned by the office staff but not yet recorded or paid amounted to $970 at April 30.

c Many clients are asked to make an advance payment for the legal services to be rendered in future months. These advance payments are credited to the Unearned Retainer Fees account. During April, $4,700 of these advances were earned by the business.

d Some clients are not billed until all services relating to their matter have been rendered. As of April 30, services priced at $2,780 had been rendered to these clients but had not yet been recorded in the accounting records.

e A professional liability insurance policy was purchased on April 1. The premium of $3,000 for the first six months was paid and recorded as Unexpired Insurance.

f The business rents an office at a monthly rate of $1,600. On April 1, three months' rent was paid in advance and charged to the Prepaid Rent account.

g Office supplies on hand at April 30 amounted to $800.

h The office equipment was purchased on April 1 and is being depreciated over an estimated useful life of 10 years.

INSTRUCTIONS

a Prepare the adjusting entries required at April 30.

b Determine the amount of *revenue* that should appear in the company's income statement for the month ended April 30.

PROBLEM 4A-3 Analysis of Adjusted Data; Preparing Adjusting Entries

Sea Cat, Inc., operates a large catamaran which takes tourists at several island resorts on diving and sailing excursions. The company adjusts and closes its accounts at the end of each month. Selected account balances appearing on the June 30 ***adjusted*** trial balance are as follows:

Prepaid rent	$ 6,000	
Unexpired insurance	1,400	
Catamaran	46,200	
Accumulated depreciation: catamaran		$9,240
Unearned passenger revenue		825

OTHER DATA

a Six months' rent had been prepaid on June 1.

b The unexpired insurance is a 12-month fire insurance policy purchased on March 1.

c The catamaran is being depreciated over a 10-year estimated useful life, with no residual value.

d The unearned passenger revenue represents tickets good for future rides sold to a resort hotel for $15 per ticket on June 1. During June, 145 of the tickets were used.

INSTRUCTIONS

a Determine

1 The monthly rent expense

2 The original cost of the 12-month fire insurance policy

3 The age of the catamaran in months

... the resort hotel on June 1

PROBLEM 4A-5
Preparing a Work Sheet

Village Theater closes its accounts *each month*. At July 31, the trial balance and other information given below were available for adjusting and closing the accounts.

(Past paper) 2023

VILLAGE THEATER
Trial Balance
July 31, 19__

Cash	$ 20,000	
Prepaid film rental	31,200	
Land	80,000	
Building	168,000	
Accumulated depreciation: building		$ 10,500
Projection equipment	36,000	
Accumulated depreciation: projection equipment		3,000
Notes payable		190,000
Accounts payable		4,400
Unearned admissions revenue (YMCA)		1,000
Li Trong, capital		103,400
Li Trong, drawing	3,500	
Admissions revenue		36,900
Salaries expense	8,700	
Light and power expense	1,800	
	$349,200	$349,200

OTHER DATA

a Film rental expense for July amounts to $21,050. However, the film rental expense for several months had been paid in advance.

b The building is being depreciated over a period of 20 years (240 months).

c The projection equipment is being depreciated over 5 years (60 months).

d At July 31, accrued interest payable on the note payable amounts to $1,650. No entry has yet been made to record interest expense for the month of July.

e Village Theater allows the local YMCA to bring children attending summer camp to the movies on any weekday afternoon for a fixed fee of $500 per month. On May 28, the YMCA made a $1,500 advance payment covering the months of June, July, and August.

f Village Theater receives a percentage of the revenue earned by Tastie Corporation, the concessionaire operating the snack bar. For snack bar sales in July, Tastie owes Village Theater $2,250, payable on August 10. No entry has yet been made to record this revenue. (Credit Concessions Revenue.)

g Salaries earned by employees but not recorded or paid as of July 31 amount to $1,500. No entry has yet been made to record this liability and expense.

INSTRUCTIONS Prepare a 10-column work sheet utilizing the trial balance and adjusting data provided. Include at the bottom of the work sheet a brief explanation keyed to each adjusting entry.

OBLEM 4A-6
eparing a rk Sheet, ancial State- nts, and justing and sing Entries

Island Hopper is an airline providing passenger and freight service among some Pacific islands. The accounts are adjusted and closed each month. At June 30 the trial balance shown below was prepared from the ledger.

ISLAND HOPPER
Trial Balance
June 30, 1994

Cash	$ 23,600	
Accounts receivable	7,200	
Prepaid rent	9,600	
Unexpired insurance	21,000	
Aircraft	1,200,000	
Accumulated depreciation: aircraft		$ 380,000
Notes payable		600,000
Unearned passenger revenue		60,000
Mary Earhart, capital		230,850
Mary Earhart, drawing	7,000	
Freight revenue		130,950
Fuel expense	53,800	
Salaries expense	66,700	
Maintenance expense	12,900	
	$1,401,800	$1,401,800

THER DATA

a The aircraft is being depreciated over a period of 10 years (120 months).

b The amount shown as unearned passenger revenue represents tickets sold to customers in advance of flights. During June, $38,650 of this amount was earned by the airline. (Credit Passenger Revenue.)

c Salaries earned by employees but not yet paid amount to $3,300 at June 30.

d Accrued interest on notes payable amounts to $5,000 at June 30 and has not yet been recorded.

e One of Island Hopper's regular customers is Pacific Trading Company. The airline keeps track of the weight of shipments carried for the trading company during the month and sends a bill shortly after month-end. No entry has yet been made to record $4,600 earned in June carrying freight for Pacific Trading Company.

f Three months' rent ($14,400) had been prepaid on May 1.

g On April 1, a 12-month insurance policy had been purchased for $25,200.

NSTRUCTIONS

a Prepare a work sheet for the month ended June 30, 1994.

b Prepare an income statement, a statement of owner's equity, and a balance sheet. Follow the format illustrated on pages 180 and 182.

c Prepare adjusting and closing journal entries.

PROBLEM 4A-7
Reversing Entries

Investor's Journal adjusts and closes its accounts at the end of each calendar year. The company works a five-day week and pays its employees up-to-date each Friday. The weekly salaries are $10,000 ($2,000 per day). Near year-end, the following events occurred relating to salaries:

Supplemental Topic, "Reversing Entries"

PROBLEM 4B-2 Preparing Adjusting Entries from a Trial Balance

Nick Charles operates a private investigating business called Nick Charles Investigations. Some clients are required to pay in advance for the company's services, while others are billed after the services have been rendered. Advance payments are credited to an account entitled Unearned Retainer Fees, which represents unearned revenue. The business adjusts and closes its accounts each month. At May 31, the trial balance appeared as follows:

NICK CHARLES INVESTIGATIONS
Trial Balance
May 31, 19__

Cash	$ 17,150	
Fees receivable	37,800	
Unexpired insurance	2,000	
Prepaid rent	5,400	
Office supplies	1,050	
Office equipment	17,100	
Accumulated depreciation: office equipment		$ 700
Accounts payable		3,900
Unearned retainer fees		24,000
Nick Charles, capital		48,600
Nick Charles, drawing	2,400	
Fees earned		24,800
Telephone expense	1,200	
Travel expense	3,400	
Salaries expense	19,500	
	$107,000	$107,000

OTHER DATA

a The useful life of the office equipment was estimated at five years.

b Fees of $6,400 were earned during the month by performing services for clients who had paid in advance.

c Salaries earned by employees during the month but not yet recorded or paid amounted to $1,700.

d On May 1, the business moved into a new office and paid the first three months' rent in advance.

e Investigative services rendered during the month but not yet collected or billed to clients amounted to $2,900.

f Office supplies on hand May 31 amounted to $600.

g On April 1, $2,400 was paid as the premium for six months' liability insurance.
(2 months premium given)

INSTRUCTIONS

a Prepare the adjusting entries required at May 31.

b Determine the amount of revenue that should appear in the company's income statement for the month ended May 31.

PROBLEM 4B-3 Making Use of a Completed Work Sheet

A 10-column work sheet for Reed Geophysical Company is illustrated on page 193.

INSTRUCTIONS

Using the information contained in that work sheet, prepare in journal entry form the adjusting and closing entries for Reed Geophysical Company at December 31, 19__.

...n's Air Service operates several small airplanes providing passenger and freight service to small towns, oil fields, fishing lodges, and other remote locations in Alaska. The company adjusts and closes its accounts at the end of *each month.* At April 30, the following trial balance was prepared from the ledger:

O'CONNELL'S AIR SERVICE
Trial Balance
April 30, 19__

Cash	$ 22,750	
Accounts receivable	28,300	
Prepaid rent	8,100	
Unexpired insurance	36,900	
Airplanes	855,000	
Accumulated depreciation: airplanes		$ 232,750
Notes payable		450,000
Unearned passenger revenue		175,250
Maggie O'Connell, capital		171,750
Maggie O'Connell, drawing	7,750	
Freight revenue		54,250
Fuel expense	47,600	
Salaries expense	70,900	
Maintenance expense	6,700	
	$1,084,000	$1,084,000

OTHER DATA

a One of O'Connell's regular customers is Yukon Oil Company. The airline keeps track of the number of trips carrying freight for the oil company and sends a bill shortly after month-end. No entry has yet been made in the airline's accounting records to record $11,750 freight revenue earned in April from Yukon Oil Company.

b Three months' rent ($8,100) had been prepaid on April 1.

c On January 1, a 12-month insurance policy had been purchased for $49,200.

d O'Connell's depreciates its airplanes over a period of 15 years (180 months).

e Accrued interest on notes payable amounts to $4,500 at April 30 and has not yet been recorded.

f The amount shown as unearned passenger revenue represents the price of tickets sold to customers in advance of flights. During April, $94,750 of this amount was earned by the airline. (Credit Passenger Revenue.)

g Salaries earned by airline employees but not yet recorded or paid amount to $1,625 at April 30.

INSTRUCTIONS

Prepare a 10-column work sheet using the trial balance and adjusting data provided. Include at the bottom of the work sheet a brief explanation keyed to each adjusting entry.

PROBLEM 4B-6 Comprehensive Work Sheet Problem

A trial balance and supplementary information needed for adjustments at September 30 are shown on the following page for Cinemax Stage & Theater. The company follows a policy of adjusting and closing its accounts at the *end of each month.*

COMPREHENSIVE PROBLEM 2

FRIEND WITH A TRUCK

2 (1ع؟)

A SHORT PRACTICE SET, BASED UPON A SERVICE BUSINESS

On June 1, 19__, Anthony Ferrara organized a business called Friend With A Truck for the purpose of operating an equipment rental yard. The new business was able to begin operations immediately by purchasing the assets and taking over the location of Rent-All, an equipment rental company that was going out of business.

Friend With A Truck uses the following chart of accounts:

Cash	1	*Anthony Ferrara, Capital*	30
Accounts Receivable	4	*Anthony Ferrara, Drawing*	35
Prepaid Rent	6	*Income Summary*	40
Office Supplies	8	*Rental Fees Earned*	50
Rental Equipment	10	*Salaries Expense*	60
Accumulated Depreciation: Rental Equipment	12	*Maintenance Expense*	61
Notes Payable	20	*Utilities Expense*	62
Accounts Payable	22	*Rent Expense*	63
Interest Payable	25	*Office Supplies Expense*	64
Salaries Payable	26	*Depreciation Expense*	65
Unearned Rental Fees	29	*Interest Expense*	66

The company closes its accounts and prepares financial statements at the end of each month. During June, the company entered into the following transactions:

June 1 Anthony Ferrara deposited $150,000 cash in a bank account in the name of the business, Friend With A Truck.

June 1 Purchased for $240,000 all the equipment formerly owned by Rent-All. Paid $100,000 cash and issued a one-year note payable for $140,000, plus interest at the annual rate of 9%.

June 1 Paid $10,000 to Morrison Realty as four months' advance rent on the rental yard and office formerly occupied by Rent-All.

June 3 Received $12,000 cash as advance payment on equipment rental from McBryan Construction Company. (Credit Unearned Rental Fees.)

June 5 Purchased office supplies on account from Newport Office Company, $1,850. Payment due in 30 days. (These supplies are expected to last for several months; debit the Office Supplies asset account.)

June 9 Purchased on account from Foley Parts Distributor $290 in parts needed to repair a rental tractor. (Debit an expense account.) Payment is due in 10 days.

June 12 Paid salaries for the first two weeks in June, $3,200.

June 15 Excluding the advance payment from the McBryan Construction Company, equipment rental fees earned during the first 15 days of June amounted to $8,900, of which $7,200 was received in cash.

June 18 Paid the account payable to Foley Parts Distributor, $290.

June 19 Collected $800 of the accounts receivable recorded on June 15.

June 23 Rented a backhoe to Mission Landscaping at a price of $110 per day, to be paid when the backhoe is returned. Mission Landscaping expects to keep the backhoe for about two or three weeks.

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June 26	Paid biweekly salaries, $3,200.
June 29	Anthony Ferrara withdrew $3,000 cash from the business to make a mortgage payment for his personal residence.
June 30	Equipment rental fees earned during the second half of June and received in cash amounted to $7,850.
June 30	Received a bill from Western Utilities for the month of June, $340. Payment is due in 30 days.

OTHER DATA

a During June, the company earned $3,210 of the rental fees paid in advance by McBryan Construction Company on June 3.

b Office supplies on hand at June 30 are estimated at $1,160.

c The rental equipment is being depreciated over a period of 10 years.

d The advance payment of rent on June 1 covered a period of four months.

e As of June 30, Friend With A Truck has earned seven days' rent on the backhoe rented to Mission Landscaping on June 23.

f Interest accrued on the note payable to Rent-All amounted to $1,050 at June 30.

g Salaries earned by employees since the last payroll date (June 26) amounted to $960 at month-end.

INSTRUCTIONS

a Journalize the above transactions.

b Post to ledger accounts. (Use running balance form of ledger accounts. Enter numbers of journal pages and ledger accounts to complete the cross-referencing between the journal and ledger.)

c Prepare a 10-column work sheet for the month ended June 30, 19__.

d Prepare an income statement and a statement of owner's equity for the month of June, and a balance sheet (in report form) as of June 30.

e Prepare adjusting and closing entries and post to ledger accounts.

f Prepare an after-closing trial balance as of June 30.

*g Prepare appropriate reversing entries (dated July 1) and post to ledger accounts.

* Supplemental Topic, "Reversing Entries"